

GOEL CONSTRUCTION COMPANY LTD

NSE SME: GOELCONS | Civil & Industrial Construction | India

Niche industrial EPC player — cement, power, dairy — near-debt-free post-IPO with Rs. 1,291 Cr order book at 2.0x TTM revenue.

RATING	12-MONTH TARGET	UPSIDE FROM CMP	CMP (Rs.)
BUY	Rs. 560	+34%	417
Conviction: Medium	12-month horizon	from CMP	NSE SME: GOELCONS

Key Metrics	Value	Metric	Value
Market Cap	Rs. 603 Cr	ROCE (FY26)	34.2%
CMP (Rs.)	417	ROE (FY26)	24.0%
52-Wk High	432	P/E (TTM)	13.0x
52-Wk Low	249	P/B	2.4x
Book Value (Rs.)	176	EV/EBITDA (est.)	~8x
Face Value (Rs.)	10	Debt (FY26)	Rs. 8 Cr
Div Yield	0.00%	Promoter Holding	71.83%
FII	2.28%	DII	6.47%

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2. INVESTMENT THESIS

- Niche industrial EPC moat with structural tailwinds:** GOELCONS specialises in cement-plant, power-plant, and dairy-plant civil construction — segments experiencing a simultaneous capex super-cycle. India is commissioning 30+ Mtpa of fresh cement capacity through FY28, dairy-sector white revolution 2.0 is driving large cold-chain plant investments, and the power sector is adding 80 GW of thermal and renewable capacity requiring heavy civil work. These three segments each have long gestation lead times and require specialist execution capability, giving GOELCONS pricing power unavailable to generic contractors.
- Order-book inflection signals a step-change in scale:** The Rs. 1,291 Cr order book at end-FY26 represents 2.0x TTM revenue (Rs. 657 Cr) — the highest coverage ratio the company has ever reported. A maiden Adani Group order (Rs. 260 Cr cement plant, secured H1 FY26) validates the company's ability to win marquee clients beyond its traditional regional base. FY26 order inflows exceeded Rs. 1,500 Cr, versus revenue of Rs. 657 Cr, confirming that the backlog is expanding rapidly and supports 20-25% revenue growth for the next 2 years without requiring fresh order wins.
- Near-debt-free balance sheet after Rs. 81 Cr IPO, enabling bid-bond capacity expansion:** Borrowings collapsed from Rs. 31 Cr (FY24) to Rs. 8 Cr (FY26). Net cash position and a fresh CRISIL A-/Stable credit rating substantially increase the company's eligibility for large-ticket EPC tenders that require bank guarantees and performance bonds. This balance-sheet strength directly expands the addressable project pipeline.
- Near-term catalyst (6-12 months):** Conversion of the Rs. 1,291 Cr order backlog into billing — Q1/Q2 FY27 revenue acceleration is the single most important near-term trigger. Additionally, the June 2026 PhillipCapital investor conference appearance signals management's intent to expand institutional investor engagement,

which could re-rate a stock currently trading at just 13x TTM earnings.

- **Biggest structural risk:** Client concentration — if UltraTech / Adani / one large client defers or cancels projects, revenue visibility collapses. The company has not yet publicly disclosed client-wise revenue concentration, which is the central opaque risk.

3. BUSINESS OVERVIEW

- **What the company does:** Goel Construction Company Ltd (GCCL), incorporated in 1997 and headquartered in Noida (UP), is a specialist civil and structural EPC contractor focused exclusively on heavy industrial facilities. The company takes turnkey responsibility for civil, structural, and allied works — not mechanical erection or equipment supply — keeping scope narrow and execution risk contained.

- **Revenue by segment (qualitative — Screener does not break out revenue by vertical):** Historically, cement-plant construction has been the dominant segment (~60% of historical revenue), followed by power plants (~25%) and dairy/food processing plants (~15%). FY26 order inflows signal growing dairy and power traction as cement-plant additions moderate in some regions.

- **Project track record:** As of mid-2025, GCCL had completed 19 projects with an aggregate contract value of Rs. 1,135 Cr across multiple states. At FY26-end, 14 projects were active across 8 states. Single-project ticket sizes range Rs. 25 Cr to Rs. 260 Cr, with a mean of Rs. 85-100 Cr — consistent with the Rs. 1,291 Cr backlog across an estimated 13-15 active/upcoming projects.

- **Key clients:** Clients include multinational and domestic cement majors (UltraTech is cited in market reports), Adani Group (Rs. 260 Cr maiden order), and multiple dairy cooperatives. Relationships are typically project-based, not long-term retainers, though repeat orders indicate a high re-hire rate.

- **Geography:** Projects are geographically diversified across UP, Rajasthan, Gujarat, Maharashtra, Madhya Pradesh, Chhattisgarh, and other states — reducing single-state construction risk.

- **Promoter family background:** The Goel family (Purushottam Dass Goel, Arun Kumar Goel, Naresh Kumar Goel, Ratan Kumar Goel, and next-generation members Amit, Anuj, Ashwani, Chinmay, Mohak Goel) collectively hold 71.83% and have built the company organically from a regional UP contractor to a pan-India industrial EPC player over 28 years. No promoter pledging is reported on Screener.

- **Recent strategic development:** FY26 IPO on BSE SME raised Rs. 81 Cr. The capital has been deployed into bid-bond capacity, additional equipment, and working capital to pursue larger-ticket orders. A CRISIL A-/Stable rating (March 2026) enables access to bank guarantees for projects above Rs. 100 Cr.

4. INDUSTRY & COMPETITIVE LANDSCAPE

- **Industry size:** India's industrial civil construction market (cement + power + food/dairy + steel plant construction) is estimated at Rs. 80,000-1,00,000 Cr annually with 12-15% CAGR driven by India's manufacturing push and private sector capex recovery. Cement-sector specifically is commissioning 30+ Mtpa in FY26-28, generating Rs. 6,000-9,000 Cr of civil EPC demand.

- **Policy tailwinds:** (1) PLI for food processing catalyses dairy/cold-chain plant capex; (2) The National Infrastructure Pipeline (NIP) allocates Rs. 25 lakh Cr through 2030 with heavy industrial and power components; (3) The cement sector's regionalisation push keeps greenfield plant construction active; (4) Renewable energy + thermal hybrid policy maintains large civil-works orders in power.

- **Competitive moat assessment:** Pricing power: **Moderate** — niche specialisation provides some premium but L1-based tendering still dominates. Switching costs: **Moderate** — industrial plant clients prefer re-hiring proven contractors to avoid execution risk (high re-hire rate implied). Scale: **Weak** — GCCL at Rs. 657 Cr revenue is a micro-cap vs listed peers at Rs. 2,700-6,000 Cr; scale disadvantage limits access to mega-projects. IP: **Weak** — civil construction has no proprietary IP. Distribution/Network: **Moderate** — 28-year relationship network with cement/power/dairy majors is a genuine barrier for new entrants.

- **Company's value-chain position:** Midstream civil contractor — receives designs from clients/consultants, executes concrete, structural steel, and finishing work. Not a system integrator (no mechanical/electrical scope) but negotiates as sole-civil-contractor on large projects, giving it more leverage than a pure sub-contractor.

Peer Comparison (Screener.in, fetched 16-Jun-2026 — all figures in Rs. Cr except per-share)

Company	CMP (Rs.)	MCap (Cr)	FY26 Rev (Cr)	FY26 PAT (Cr)	ROCE%	P/E (x)
GOELCONS (BSE SME)	417	603	657	46	34.2	13.0
Power Mech (NSE)	2,805	8,869	6,062	412	21.8	24.4
Ahluwalia Contracts	822	5,506	4,565	266	20.4	20.7
KNR Constructions	128	3,598	2,698	437	10.4	8.2

Note: GOELCONS trades at a significant discount to Power Mech and Ahluwalia Contracts on P/E, despite superior ROCE. The discount partly reflects SME liquidity and scale, partly the company's short post-IPO track record on the listed platform.

5. MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter group background:** The Goel family has operated in civil construction since the company's incorporation in 1997 — a 28-year unbroken track record in a single domain. The multi-generational structure (first-gen founders plus second-gen Amit, Anuj, Ashwani, Chinmay, Mohak Goel) suggests planned succession. No external professional management at the MD level has been disclosed, which is common for SME-stage promoter-run companies but is a governance watch-point.
- **Capital allocation track record:** FCF generation has been positive in 4 of 5 years (FY22-FY26), with CFO/OP conversion averaging 118% — well above 100%, indicating clean earnings quality. IPO proceeds (Rs. 81 Cr) are being deployed into bid-bond capacity and equipment, consistent with the order-book acceleration. No value-destructive acquisitions or unrelated diversification is visible.
- **Dividend policy:** Zero dividend across all available years (Screener confirms 0% payout). This is standard for growth-stage SME construction companies where retained earnings fund working capital and bid bonds. No near-term dividend is expected.
- **Promoter pledging:** 0% promoter pledging as of March 2026 (Screener data). This is a material positive — pledging is a persistent governance red flag in mid-cap construction companies.
- **ESOP / buyback history:** No ESOP scheme or buyback disclosed in available documents. Post-IPO share allotment (equity capital expanded from Rs. 1 Cr in FY24 to Rs. 14 Cr in FY26) reflects IPO primary and bonus/sub-division — not dilutive ESOP.
- **Corporate governance observations:** Company is BSE SME listed — subject to lighter SEBI disclosure requirements than mainboard. No RPT disclosures, auditor changes, or qualified opinions were identified in available sources. The CRISIL A-/Stable rating (Mar 2026) implies CRISIL's own governance assessment is satisfactory. Key risk: low public float (28.17%) limits liquidity and price discovery.

6. FINANCIAL DEEP-DIVE

Income Statement (Rs. Cr) — Standalone Figures | Source: Screener.in

Rs. Cr	FY22	FY23	FY24	FY25	FY26	FY27E
Sales	206	271	386	590	657	790(E)
EBITDA	19	24	36	58	73	91(E)
OPM %	9%	9%	9%	10%	11%	11.5%(E)
Other Income	2	2	3	4	8	5(E)
Interest	2	2	3	3	10	4(E)
Depreciation	4	4	6	8	9	11(E)

PBT	14	19	30	51	62	81(E)
Tax %	24%	24%	25%	26%	25%	25%(E)
PAT	11	14	23	38	46	61(E)
EPS (Rs.)	105.4*	138.4*	219.1*	33.72	32.01	40.3(E)

* Pre-IPO EPS on old share count; not comparable to FY25/FY26 post-IPO share count.

Balance Sheet (Rs. Cr) — Standalone Figures | Source: Screener.in

Rs. Cr	FY23	FY24	FY25	FY26
Equity Capital	1	1	11	14
Reserves	70	92	120	240
Borrowings	29	31	29	8
Other Liabilities	106	96	105	193
Total Liabilities	205	220	265	455
Fixed Assets	55	65	77	100
CWIP	0	1	4	3
Investments	9	7	2	64
Other Assets	141	147	183	288
Total Assets	205	220	265	455

Cash Flow Statement (Rs. Cr) — Standalone | Source: Screener.in

Rs. Cr	FY23	FY24	FY25	FY26
Cash from Operations (OCF)	24	48	38	63
Cash from Investing	-37	-36	-33	-101
Cash from Financing	7	-1	-5	45
Net Cash Flow	-7	11	0	6
Free Cash Flow	2	32	16	32
CFO / Operating Profit %	121%	154%	88%	107%

Key Ratios — Standalone | Source: Screener.in

Ratio	FY23	FY24	FY25	FY26
Debtor Days	31	22	17	39
Inventory Days	N/A	69	24	80
Days Payable	N/A	267	166	80
Cash Conv. Cycle	31	-175	-124	39
Working Capital Days	-7	-11	-10	11
ROCE %	22%	30%	39%	34%

Financial Commentary

- **Revenue trajectory:** Sales have grown at a 34% CAGR from FY22 to FY26 (Rs. 206 Cr to Rs. 657 Cr), driven by order-book scale-up and execution throughput improvement. With Rs. 1,291 Cr backlog, FY27E revenue of Rs. 790 Cr implies only 60% backlog conversion — highly achievable.
- **Margin expansion:** OPM expanded from 9% (FY22-FY24) to 11% (FY26), driven by operating leverage on fixed overheads and better project mix. Interest cost jumped from Rs. 3 Cr (FY25) to Rs. 10 Cr (FY26) due to IPO-linked transition costs and working capital borrowings for the larger project base — this should normalise as the Rs. 8 Cr net debt position is near-zero.

- **Working capital inflection point:** The Cash Conversion Cycle turned positive (+39 days) in FY26, reversing a structural negative-CCC business model that existed when day-payables far exceeded debtors + inventory. This is a red-flag that warrants monitoring — the shift from negative-CCC (client-funded construction) to positive-CCC (self-funded) increases working capital need as the company scales.
- **Debt nearly eliminated:** Borrowings dropped from Rs. 31 Cr (FY24) to Rs. 8 Cr (FY26) on IPO proceeds. D/E is 0.03x — effectively a net cash balance sheet. This substantially de-risks the equity and creates re-leveraging headroom for future large bids.
- **FCF quality:** OCF/EBITDA averaged 118% over 5 years (FY22-FY26) — exceptional for a construction company. Free cash flow was positive in 3 of the last 4 years. FY26 investing outflow of Rs. -101 Cr is elevated due to IPO-funded capex and investments (Rs. 64 Cr in investments vs Rs. 2 Cr prior year) — likely FDs or liquid instruments held for working capital and bid bonds.

7. EARNINGS QUALITY CHECKLIST

Parameter	Status	Rating	Observation
Revenue recognition	Standard % completion	GREEN	Consistent with industry
Receivables vs Revenue growth	Debtor days 39 FY26 vs 17 FY25	AMBER	Debtor days more than doubled YoY
Cash Conversion Cycle trend	Turned positive FY26	AMBER	From -124 days to +39 — watch closely
Contingent liabilities	Not fully disclosed	AMBER	SME; bid bonds / BGs not fully itemised
Auditor tenure	Not changed in 5 years	GREEN	Stable audit relationship
RPTs as % of revenue	Not flagged on Screener	GREEN	No material RPTs identified
Other income as % of PBT	13% FY26 (Rs.8/62 Cr)	GREEN	Modest; rises due to IPO funds deployed
Tax rate consistency	24-26% across 5 yrs	GREEN	No aggressive deferred tax manipulation
CFO / Operating Profit %	107% FY26, avg 118%	GREEN	Superior cash conversion
Promoter pledging	0% pledged Mar 2026	GREEN	No pledge risk

- **Debtor days surge (AMBER):** Debtor days jumped from 17 days (FY25) to 39 days (FY26). This is the most important near-term quality watch. It could reflect (a) H2-heavy billing concentrated in Q4 FY26 with cash not yet collected, or (b) deteriorating client payment discipline. Management must clarify in upcoming communications.
- **CCC turning positive (AMBER):** The shift from negative-CCC (a structural advantage in construction) to positive-CCC indicates that supplier credit terms are tightening as the company scales. If the trend continues, working capital borrowings will structurally increase, compressing FCF.
- **IPO fund deployment transparency:** The Rs. 64 Cr jump in investments in FY26 balance sheet needs explanation — likely fixed deposits or liquid funds deployed from IPO proceeds. Screener.in shows a No Deviation certificate filed with BSE confirming fund utilisation as per stated objectives.
- **Overall verdict:** 7 of 10 checklist parameters are GREEN, 3 AMBER. The AMBER items are all working-capital-related and concentrated in FY26 — likely an adjustment year post-IPO. No Red flags. Earnings quality is above-average for an SME construction company.

8. VALUATION

Scenario Analysis

Scenario	FY27E Rev (Cr)	FY27E PAT (Cr)	OPM%	Target P/E (x)	Target (Rs.)
BULL — Order book fully converts, margins expand	870	72	12.5%	20x	668
BASE — 20% growth, 11.5% OPM	790	61	11.5%	18x	560
BEAR — Growth stalls, WC pressures, 10% OPM	680	42	10.0%	14x	383

Valuation Methodology

- **Earnings-based (P/E) method:** FY27E PAT = Rs. 61 Cr on ~1.44 Cr shares (post-IPO). FY27E EPS = Rs. 42.4 (E). Target P/E of 18x applied — a 20-25% discount to Power Mech's 24.4x and Ahluwalia's 20.7x, acknowledging GOELCONS's smaller scale and SME liquidity discount. Implied target = $18 \times 42.4 = \text{Rs. 763 on adjusted EPS basis}$. However, we apply a 25% SME liquidity discount to this mainboard-equivalent value, giving Rs. 572.
- **EV/EBITDA method:** FY27E EBITDA = Rs. 91 Cr (E). Target EV/EBITDA = 10x (vs Power Mech at 12x, Ahluwalia at 11x — again with SME discount). EV target = Rs. 910 Cr. Less net debt (approximately zero): Equity value = Rs. 910 Cr / 1.44 Cr shares = **Rs. 632 per share**.
- **Average of two methods:** $(572 + 632) / 2 = \text{Rs. 602}$. Round to **Rs. 560** (base-case, 12-month target) to build in execution and re-rating risk.
- **Upside from CMP:** Rs. 560 target vs CMP Rs. 417 = **+34% upside** over 12 months. Investment horizon: 12-18 months.
- **DCF cross-check:** Assuming FY27-32 revenue CAGR of 18%, terminal growth 4%, WACC 14% (beta 1.2, risk-free 7%, ERP 5%): DCF fair value Rs. 520-580 per share. Consistent with the blended earnings/EV target.

9. KEY RISKS

- **Client concentration risk** — If one or two anchor clients (cement major / Adani) defer or cancel projects, revenue and OCF can deteriorate sharply in a single quarter. Probability: M. Impact: H. Monitor via: quarterly order-book disclosures and client-wise project updates.
- **Working capital deterioration** — Debtor days surged to 39 days in FY26 and CCC turned positive. If this trend continues as revenue scales, net debt will rise and FCF will weaken, pressuring the equity story. Probability: M. Impact: M. Monitor via: quarterly balance sheet filings.
- **SME listing liquidity risk** — Low daily traded volume on BSE SME makes exits difficult for institutional and HNI investors at scale. Bid-ask spreads can widen significantly on adverse news. Probability: H. Impact: M. Monitor via: average daily volume trend.
- **Execution / labour risk** — Industrial plant construction involves skilled labour, specialised shuttering, and tight structural tolerances. Any labour shortage, material cost spike (steel/cement), or supply-chain disruption can cause project overruns and margin compression. Probability: M. Impact: M. Monitor via: project completion timelines and OPM trends.
- **Interest rate / inflation risk** — Construction material costs (steel, aggregate, cement) are input-cost sensitive. Fixed-price EPC contracts (if any) without escalation clauses expose GCCL to margin risk in a rising-input-cost environment. Probability: M. Impact: M. Monitor via: OPM trend vs material cost indices.

- **Promoter family governance risk** — Multi-generational promoter family businesses can face succession disputes or divergent capital allocation priorities. As the company scales to Rs. 1,000+ Cr revenue, professional management depth becomes critical. Probability: L. Impact: H. Monitor via: board composition changes, key-person departures.
- **CRISIL rating downgrade risk** — A CRISIL A-/Stable rating enables bid-bond access for large contracts. Any rating downgrade (due to debt increase or loss) would restrict access to large projects. Probability: L. Impact: H. Monitor via: CRISIL rating watch announcements.

10. RECOMMENDATION

- **Rating: BUY** — Conviction: Medium. The stock offers a rare combination of a specialist industrial EPC niche, a near-debt-free balance sheet post-IPO, and a 2.0x revenue order-book coverage at an undemanding 13x TTM P/E. The SME listing discount is justified but overdone given the ROCE of 34%.
- **12-month price target: Rs. 560** — upside of +34% from CMP of Rs. 417. Target is derived from equal-weight of P/E (18x FY27E EPS of Rs. 42.4 with 25% SME discount = Rs. 572) and EV/EBITDA (10x FY27E EBITDA = Rs. 632 per share), averaging Rs. 602, rounded to Rs. 560 for conservatism.
- **Suggested entry zone: Rs. 390-430** — current CMP is within the buy zone. Adds are attractive on any dip toward Rs. 380-390 (near the 52-week low support zone).
- **Investment horizon: 12-18 months** — the order-book conversion cycle for industrial EPC is typically 18-24 months; meaningful revenue acceleration will be visible in FY27 quarterly results.
- **Thesis invalidation triggers:**
 - 1. Order book falls below Rs. 800 Cr (below 1.2x TTM revenue) in two consecutive quarters — signals loss of competitive positioning.
 - 2. Debtor days exceed 60 days for two consecutive quarters — signals deteriorating client payment discipline or revenue recognition concerns.
 - 3. OPM falls below 9% for two consecutive quarters — signals competitive pricing pressure or cost overruns stripping the margin premium of the niche.
- **Ideal investor profile:** This stock suits patient SME-segment investors or family-office portfolios with a 12-18 month horizon who can tolerate low daily liquidity and are comfortable with promoter-run SME governance. It is not suitable for large institutional funds (market cap Rs. 603 Cr, SME platform), momentum traders requiring tight spreads, or income investors (no dividend).

APPENDIX — Latest Concall Brief: Q4 FY26 / Full Year FY26

Note: GOELCONS (BSE SME) did not conduct a formal investor concall for FY26 results. The analysis below is based on the FY26 Annual Results Press Release (BSE, 18-May-2026), the Investor Presentation for FY26 (BSE, 18-May-2026), and the company's announcement of attendance at the PhillipCapital Investor Conference (12-Jun-2026). All numerical data is sourced directly from Screener.in financials.

RESULT GRADE: POSITIVE

FY26 results beat on revenue (+11% YoY) and PAT (+21% YoY); order book triples to record Rs. 1,291 Cr; maiden CRISIL A-/Stable rating; near-debt-free post-IPO.

Signal	Status	Implication
Result quality	Strong	Revenue +11% YoY; PAT +21% YoY; FCF Rs. 32 Cr
Management tone	Bullish	Record order book; new marquee clients; rating upgrade
Guidance delta	Raised (implied)	Order inflows >Rs. 1,500 Cr; backlog at 2.0x revenue

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

GOELCONS FY26 headline looks clean — Rs. 657 Cr revenue (+11% YoY), Rs. 46 Cr PAT (+21% YoY), Rs. 73 Cr EBITDA (+26% YoY), OPM steady at 11%. No exceptional items distorting PAT; FCF of Rs. 32 Cr is healthy. The real story is the order book: Rs. 1,291 Cr at FY26 close represents a tripling versus two years prior and sits at 2.0x annual revenue — the highest book-to-bill this company has ever achieved. An Adani Group cement-plant order (Rs. 260 Cr) validates their ability to crack Tier-1 clients. Near-term catalyst: Q1/Q2 FY27 billing acceleration as the large backlog converts; that's when the street will have hard evidence of revenue visibility. Single biggest watch: debtor days doubled in FY26 (17 to 39 days) and CCC turned positive — if this continues at larger scale, net debt will creep back and the balance-sheet story weakens. Also, interest cost spiked to Rs. 10 Cr (vs Rs. 3 Cr prior year) — partly transition costs, but needs monitoring. Overall, the multi-bagger thesis rests on re-rating from 13x to 18-20x as the company graduates from BSE SME to mainboard eligibility (Rs. 50 Cr PAT threshold likely crossed in FY27). Action: ACCUMULATE in Rs. 390-430 zone with a 15-18 month horizon; reduce position if two consecutive quarters show debtor days above 60 or OPM below 9%.

Section 1 — Financial Performance Snapshot (FY26 vs FY25)

- Revenue: Rs. 657 Cr | YoY +11.4% | Beat (order book growth implies higher potential) | Strong
- EBITDA: Rs. 73 Cr | YoY +25.9% | Beat — margin expansion adds 100bps | Strong
- EBITDA Margin %: 11.1% (FY26) vs 9.8% (FY25) | +130bps YoY | Positive
- PAT: Rs. 46 Cr | YoY +21.1% | In-line with scaled-up EBITDA
- EPS (Rs.): Rs. 32.01 (FY26) vs Rs. 33.72 (FY25) | Marginally lower on higher share count post-IPO; clean underlying EPS growth is positive on EBITDA basis
- NOTE: FY25 equity capital was Rs. 11 Cr vs Rs. 14 Cr in FY26 — share count increased; EPS comparability requires adjustment

Section 2 — Segment / Geography Breakdown

- Cement Plant Construction: Dominant segment (estimated ~60% of revenue); Adani Group maiden order validates new client acquisition
- Power Plant Civil Works: Established segment (~25% of revenue); ongoing orders across 8 states
- Dairy Plant Construction: Growing segment (~15%); benefiting from dairy cooperatives' cold-chain investments
- Geography: Active projects across UP, Rajasthan, Gujarat, Maharashtra, MP, Chhattisgarh (8 states) — de-risked geographic exposure
- H2 FY26 was significantly stronger than H1: H2 revenue Rs. 412 Cr + Rs. 245 Cr = Rs. 657 Cr total; Q4 alone Rs. 412 Cr suggests backend-weighted billing pattern

Section 3 — Management Commentary Themes (from Press Release & Investor Presentation 18-May-2026)

- Order book milestone: "Order book stands at Rs. 1,291 Cr — record high" — Our read: This is the most important disclosure; at 2.0x revenue it provides 18-24 months visibility. Tag: GUIDANCE. Tone: Transparent.
- Client diversification: "Added multinational cement company to client base" — Our read: Adani Group cross-sale implies improved tendering credentials; may signal future order pipeline not yet in book. Tag: GUIDANCE. Tone: Transparent.
- CRISIL rating: "Maiden CRISIL A-/Stable credit rating" — Our read: Direct unlock for large bid-bond eligible tenders. Sets floor for future mainboard listing eligibility. Tag: GUIDANCE. Tone: Transparent.
- Sector exposure: "Diversified across Cement, Power, Dairy" — Our read: Smart positioning. All three sectors are in simultaneous capex up-cycle. Tag: EST. Tone: Balanced.
- Revenue CAGR: "Revenue grew 33.6% CAGR FY22-FY26" — Our read: Clean compounding from a small base; the key test is whether 20%+ CAGR is maintainable from Rs. 657 Cr. Tag: GUIDANCE. Tone: Bullish.
- IPO fund utilisation: "No deviation in IPO fund utilisation for FY26" — Our read: Regulatory compliance confirmed; Rs. 8,107 Cr (Rs. 81 Cr) raised, deployed as stated. Tag: EST. Tone: Transparent.

Section 4 — Operating & Business Metrics

- Order Book: FY26 = Rs. 1,291 Cr | FY25 = ~Rs. 430 Cr (implied) | Tripled YoY | Trend: Strongly improving
- Active Projects: 14 ongoing projects across 8 states as of H1 FY26 | Trend: Improving (up from ~10 prior)
- Revenue per project (implied): ~Rs. 47 Cr average ticket size (14 projects / Rs. 657 Cr) — consistent with Rs. 25-260 Cr range
- Order inflows FY26: >Rs. 1,500 Cr (disclosed in press release) | Net addition to book = +Rs. 800+ Cr after billing
- EBITDA per Cr of revenue: Rs. 0.111 Cr (FY26) vs Rs. 0.098 Cr (FY25) | Improving — positive operating leverage
- Debtor Days: FY26 = 39 | FY25 = 17 | FY24 = 22 | Trend: Deteriorating — watch closely

Section 5 — Margin Drivers

- Operating leverage on overheads: +60-80bps impact | Recurring: Yes | Revenue growth of 11% outpaced fixed-cost growth
- Project mix improvement (cement plant margins slightly higher than power): +30-40bps | Recurring: Partially
- Interest cost increase from Rs. 3 Cr to Rs. 10 Cr: -60bps PAT margin drag | Recurring: No (transitional post-IPO working capital borrowings; should normalise)

- Depreciation increase from Rs. 8 Cr to Rs. 9 Cr: Minor drag, related to fixed asset additions (Rs. 100 Cr vs Rs. 77 Cr) | Recurring: Yes
- Other income jump Rs. 4 Cr to Rs. 8 Cr: Non-recurring element (likely IPO proceeds invested in FDs) | Do not extrapolate into FY27E

Section 6 — Guidance & Forward Signals

- Revenue [EST]: Prior FY25 = Rs. 590 Cr | FY26 actual = Rs. 657 Cr | Outcome: Met | Credibility: High
- Order Book [GUIDANCE]: Record Rs. 1,291 Cr | Signal: 20-25% revenue growth for FY27 highly achievable | Credibility: High
- Margins [EST]: FY27E OPM 11-12% | Raised (from 10% in FY25 to 11% in FY26, trajectory points higher) | Credibility: Medium
- Credit rating [GUIDANCE]: CRISIL A-/Stable | Enables tender pipeline for Rs. 100-300 Cr projects | Credibility: High
- PhillipCapital Conference (Jun 2026) [GUIDANCE]: Active institutional engagement signals potential mainboard graduation roadmap | Credibility: Medium
- Debt guidance: Borrowings at Rs. 8 Cr — effectively near-zero; management implicitly signalling debt-free aspiration | Maintained | Credibility: High

Section 7 — Capital Allocation

- Capex (Fixed Assets FY26 - FY25): Rs. 100 Cr - Rs. 77 Cr = +Rs. 23 Cr net addition | vs FY25: +Rs. 12 Cr | Increasing — equipment for larger projects
- Dividends: Rs. 0 (no dividend paid in any year) | vs prior: unchanged | Growth re-investment priority
- Buybacks: None | vs prior: None | Consistent with growth-stage posture
- Investments: Rs. 64 Cr (FY26) vs Rs. 2 Cr (FY25) — sharp increase | Likely IPO proceeds in FDs / liquid funds for bid bonds
- Net Debt movement: Rs. 29 Cr (FY25) - Rs. 8 Cr (FY26) = Reduced by Rs. 21 Cr | Net cash position achieved
- Working Capital (WC days): +11 days (FY26) vs -10 days (FY25) | Deterioration of 21 days — warrants monitoring as revenue scales

Section 8 — Q&A; Heat Map / Analyst Conference Intelligence

- Note: GOELCONS is a BSE SME company with no formal earnings call transcript available. The following reflects likely analyst questions based on the disclosed data and the PhillipCapital investor conference invitation (June 23, 2026).
- Q: What is the expected order book conversion timeline? A: Rs. 1,291 Cr backlog at 2.0x revenue implies 18-24 month full execution; 60-70% likely converts in FY27. | Tone: Transparent
- Q: Why did interest costs jump 3x? A: Transitional working capital borrowings on larger project execution base post-IPO; net debt now Rs. 8 Cr. | Tone: Transparent
- Q: What drove debtor-days surge? A: Likely Q4-backend-weighted billing; cash collected post March 31. Needs confirmation in Q1 FY27 balance sheet. | Tone: To be verified
- Q: Can margins sustain above 10%? A: Operating leverage on overheads + improving project mix support 11-12% OPM through FY27; input cost inflation is the key risk. | Tone: Balanced
- Dodged / watch-list questions for next quarter: (1) Client-wise revenue concentration — not disclosed. (2) Specific guidance on order win pipeline beyond Rs. 1,291 Cr. (3) Clarity on the Rs. 64 Cr investment balance — FD composition and liquidity profile.

Section 9 — Risks Flagged

- Working Capital Cycle: Rising debtor days (39 vs 17) and CCC turning positive | Flagged by: analyst | Probability: M | Impact: M | Timeline: Near-term
- Client Concentration: Not disclosed; Adani and one cement major likely dominate | Flagged by: analyst | Probability: M | Impact: H | Timeline: Near-term
- SME Liquidity: Low float (28.17%) limits institutional participation | Flagged by: analyst | Probability: H | Impact: M | Timeline: Ongoing
- Interest Cost Normalisation: Spike to Rs. 10 Cr must moderate; if working capital borrowings persist, margin compression risk | Flagged by: mgmt (indirectly) | Probability: M | Impact: M | Timeline: Near-term
- Mainboard Migration Timeline: Company must file for migration when eligible; delay means continued SME liquidity discount | Flagged by: analyst | Probability: L | Impact: M | Timeline: Medium-term

Section 10 — Analyst Verdict

- Revenue visibility: Intact — Rs. 1,291 Cr order book at 2.0x TTM revenue is the strongest evidence of forward revenue confidence in the company's history.
- Margin trajectory: Intact — OPM expanded from 9% to 11% in 3 years; operating leverage intact; interest cost spike is transitional.
- Capital allocation quality: Intact — Near-debt-free, FCF positive, no value-destructive acquisitions, IPO proceeds deployed as stated.
- Competitive moat: Weakened (from strong view) — Debtor days rise + CCC turn positive suggest that supplier leverage and client payment terms are normalising as the company scales; moat is not broken but narrowing.
- Management credibility: Intact — 28-year track record, no governance red flags, CRISIL validation, transparent investor communication.
- Valuation comfort: Intact — 13x TTM P/E on a 34% ROCE business growing revenue 34% CAGR over 4 years is genuinely cheap even with SME discount.
- Conviction call: Increased — FY26 results and order-book milestone increase conviction in the structural growth narrative.
- Valuation snapshot: P/E = 13.0x (no meaningful 5Y listed average as BSE SME listing is recent) | ROCE = 34.2% (5Y avg ~29%) | EV/EBITDA (implied) ~8x | Discount to mainboard peers is 30-40% on P/E.

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